

THE WALL STREET JOURNAL.

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★★★★ \$5.00

DJIA 46706.58 ▲ 515.97 1.12% NASDAQ 22990.54 ▲ 1.4% STOXX 600 572.10 ▲ 1.0% 10-YR. TREAS. ▲ 5/32, yield 3.986% OIL \$57.52 ▼ \$0.02 GOLD \$4,336.40 ▲ \$146.50 EURO \$1.1643 YEN 150.75

What's News

Business & Finance

- ◆ **Major sites and apps** were down for millions of users for much of Monday, hit by a far-reaching and stubborn Amazon Web Services outage that disrupted services for many companies. **A1**
- ◆ **Insurers are being told** increasingly to cap prices as soaring rates are putting pressure on politicians. **A1**
- ◆ **A group of banks** including JPMorgan and Goldman is struggling to put together a \$20 billion loan to Argentina without leaving themselves too exposed to the financially distressed country. **B1**
- ◆ **Customer cancellations** for Disney's Disney+ and Hulu streaming services jumped in September, after the company briefly suspended "Jimmy Kimmel Live!" **B1**
- ◆ **A second proxy advisory** firm has issued a recommendation that Tesla shareholders vote against Elon Musk's proposed pay package. **B2**
- ◆ **Kering agreed to sell** its beauty business to L'Oréal for roughly \$4.7 billion. **B3**
- ◆ **Apple stock hit a record** on a report that sales of this year's iPhone models had started strongly. **B4**
- ◆ **Starboard Value** has taken a nearly 5% stake in Fluor and aims to boost the company's shares. **B3**
- ◆ **Molson Coors** is eliminating about 400 salaried jobs across its Americas business, as the beer industry contends with a slump. **B3**
- ◆ **Cleveland-Cliffs reported** rising demand for its steel in the third quarter, and said it will explore producing rare-earth minerals. **B3**

World-Wide

- ◆ **Senior U.S. officials** are heading to Israel, hoping to keep a fragile cease-fire and peace process for Gaza on track after clashes between Hamas and Israel. **A7**
- ◆ **Crime rates** in San Francisco have dropped to their lowest levels in decades and rents are up in the city, which is rebounding largely thanks to the AI boom. **A1**
- ◆ **A federal appeals court** will allow President Trump to deploy the National Guard to Portland, Ore., despite objections from state and local officials who say that no emergency exists. **A3**
- ◆ **The Supreme Court said** it would decide whether drug users have a constitutional right to own a gun. **A3**
- ◆ **The Treasury Department** told employees not to share photos of the demolition of parts of the White House's East Wing after images of construction equipment dismantling the building facade went viral online. **A4**
- ◆ **Russia and Ukraine** signaled they were far apart on a peace deal, days after Trump's push to hammer out a settlement in a tense meeting with Zelensky. **A7**
- ◆ **A power struggle** has emerged over who will run space agency NASA. **A6**
- ◆ **China said economic** momentum decelerated to its slowest pace in a year. **A8**
- ◆ **Trump's vow to intervene** against drug smugglers in Colombia widened a U.S. counternarcotics campaign in Latin America increasingly focused on threatening governments in the region. **A9**

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Heist Offers Window on France's Broken Finances



CRIME SCENE: A window of the Louvre is boarded up Monday, a day after a daring jewel robbery that came as dwindling funds left the Paris museum vulnerable. For a video on how the burglars pulled off the crime, scan the code with the article on A8.

States Weigh Insurer Price Caps

By JEAN EAGLESHAM

The U.S. is in a cost crisis when it comes to home and auto insurance. A number of states have a controversial answer: price controls. Illinois lawmakers are considering a ban on home insurers hiking rates because of catastrophes in other states. Louisiana recently handed its regulator the power to strike down "excessive" premiums. New York lawmakers are investigating soaring home-

insurance costs, with a view to potential new curbs. In Michigan, Democratic lawmakers proposed this summer a law to impose a 10% cut in auto-insurance rates. "Rate increases are top of mind for every policymaker across the country. Consumers are going to them and saying, 'I can't deal with a 30% rate increase, or a 40% rate increase,'" said Jon Godfread, president of the National Association of Insurance Commissioners.

The U.S. economy is built on open competition and the ability of industry to set prices—except when it comes to insurance. Governments play a role in setting prices in local, regulated monopolies such as electricity and water. Among competitive industries, insurance is an outlier. Soaring rates are piling pressure on politicians. And increasingly, insurers are being told to cap prices. "The increases are so big—you just think 'wow, what's

going on,' " said Jarrad McCarthy, a Chicago sales executive. In the past two years, the annual cost of insuring his three-bedroom home has risen 47%, to \$1,929 from \$1,312. Coverage for his Hyundai Tucson has gone up even more: The six-month premium jumped 62%, to \$946 this summer from \$584 in *Please turn to page A2*

◆ **Heard on the Street: ACA deal won't help insurers...**B10

China Built Rare-Earth Dominance Diligently Since 1990s

By JON EMONT

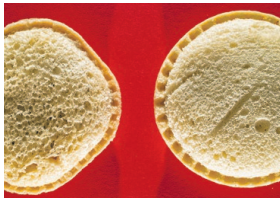
When China tightened restrictions on rare-earth exports this month, stunning the White House, it was the latest reminder of Beijing's control over an industry vital to the world economy. Its dominance was decades in the making. Since the 1990s, China has used aggressive tactics to build up and maintain its lock over rare-earth minerals, which are essential to making magnets needed for cars, wind turbines, jet fighters and other products. Beijing provided financial support to the country's leading companies, encouraged them to snap up rare-earth assets abroad, and passed laws preventing foreign companies from buying rare-earth mines in China. It eventually consolidated its domestic industry from hundreds of businesses into a few giant players, giving it further leverage over prices. When the U.S. tried to engineer a revival of its domestic industry a few years ago, China flooded the market with supply, throwing Western producers into a tailspin. As Western rare-earth companies' valuations collapsed from the low prices caused by soaring Chinese production, they were forced to slow expansion, and in some cases, sell their mines to Chinese buyers.

Beijing's methodical approach to dominating the industry—it now produces around 90% of global refined supply—reflects China's ability to use state control over the economy to achieve goals that often elude the U.S. It also suggests that fresh U.S. efforts to resurrect its domestic rare-earths industry *Please turn to page A4*

INSIDE



PERSONAL JOURNAL
Southwest gives travelers a sneak preview of its new boarding plan. **A11**



BUSINESS & FINANCE
Frozen PB&J snacks square off in court as companies battle over copycat products. **B1**

The Fraudster Behind Ballmer's NBA Nightmare

Joe Sanberg's bank got the Clippers owner to invest, then struck a puzzling deal with the team's star player

By ROBERT O'CONNELL AND HARRIET RYAN

Los Angeles entrepreneur and progressive activist Joe Sanberg was in trouble. His online bank, Aspiration, had attracted buzz and A-list investors like Robert Downey Jr. and Leonardo DiCaprio with its eco-friendly pitch, but by 2022 it was running out of money. Sanberg had begun falsifying financial documents and concocting phony customers in a scheme he would later admit defrauded investors of more than \$248 million. His dream of springboarding into politics with an antipoverty message was fizzling, too. A \$10-million campaign to raise California's minimum wage, part of a plan to propel him to the governor's mansion or maybe even the White House, was heading for defeat. As the pressure mounted, though, Sanberg fixated on closing a deal that bewildered some colleagues: A \$48-million endorsement con-

tract between his struggling bank and Kawhi Leonard, an NBA star considered one of the less charismatic members of L.A.'s less glamorous franchise, the Clippers. "Makes no business sense whatsoever," a senior Aspiration executive texted Mike Shuckow, the company's general counsel and chief operating officer, after learning of the proposed deal with Leonard, who was riding the bench that season while recovering from an ACL injury. Sanberg pushed through the deal anyway. Now that contract is at the center of one of the biggest financial controversies in recent sports history. Leonard performed no significant work for the endorsement money, and the NBA has commissioned an investigation into whether the Clippers' billionaire owner, Steve Ballmer, a former Microsoft CEO and a prized Aspiration investor, used the company *Please turn to page A10*

Restaurants Are Pitching Water As a Fine-Dining Experience

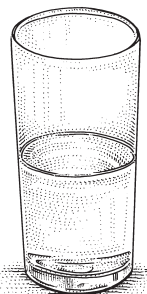
Menus highlight provenance and traits like acidity and minerality; no ice allowed

By NATASHA DANGOOR

Magdalena Kalley was browsing the drinks menu at a Michelin-starred restaurant, wondering what might pair well with the \$175 steak she planned to share with three friends. The server recommended something smooth and full-bodied. It was an \$11 bottle of still water from the East Coast. Unlike most people, who are drawn to high-end restaurants for the food, Kalley went to Gwen over the summer specifically to check out the Los Angeles hot spot's

water menu—part of a small but growing contingent interested in the rarefied world of "fine water."

She started with Saratoga, the East Coast water, before moving on to her French favorite: Evian. "I am absolutely obsessed with the taste and texture," the 38-year-old said. Kalley also tried a \$12 Georgian sparkling water, Borjomi, described on the menu as salty and complex. The salinity, she said, helped highlight the differences between the various waters she *Please turn to page A12*



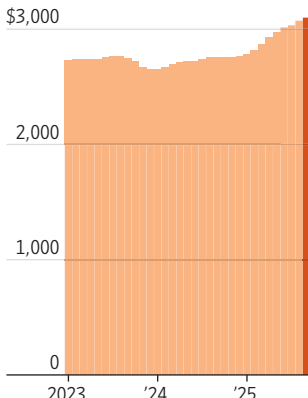
Easy drinking

San Francisco Emerges From Its Death Spiral

By KATHERINE BINDLEY

SAN FRANCISCO—San Francisco is back. Or at least on its way. Crime rates have dropped to their lowest levels in decades and continue to fall, with burglaries, a particular nuisance to homeowners and tourists, down 28% this year. The homeless tent encampments that block sidewalks and bedevil retail businesses have shrunk, while foot traffic and transit ridership have risen. Rents overall in the city proper are up 12% from a year earlier, with September the 13th month in a row of growth, according to Apartments.com. And the hotel industry is showing signs of recovery. On a recent sunny October Friday—everyone's favorite day to work from home—dozens of workers typed away on

Median rent in San Francisco for a one-bedroom apartment



Source: Apartments.com

laptops around Salesforce Park, and tourists walked its leafy paths. Restaurants hummed with more than half of their tables full, many taken *Please turn to page A2*